Macpower CNC Machines Ltd

Concall tracker, Q2 FY27 (quarter to Sep 2026) | NSE: MACPOWER | Filed under Q2-2027

1. Snapshot

Macpower is a Rajkot (Gujarat) maker of CNC machine tools: computer-controlled lathes, machining centres and turning machines that factories use to cut metal parts. It sells to small and mid-size workshops, and more and more to big companies (Hero, Kirloskar, Graphite India) and defence buyers (HAL, ordnance and rifle factories). It designs all of its roughly 390 models in-house.

Number	Value	Plain read
Market cap	about Rs 2,300 cr	The market values it at about 53 times a year's profit. That's a lot: it prices in years of fast growth.
FY26 sales	Rs 333 cr (+27%)	Sales have grown five times since FY21.
Q2 FY27 sales	Rs 120 cr (+40%)	Its best quarter ever, about 590 machines shipped.
Q2 FY27 net profit	Rs 13.5 cr (+44%)	Profit grew a bit faster than sales.
Operating margin (EBITDA = profit before interest, tax, depreciation)	16.6%	About the same as a year ago; it has held at 16-18% for two years.
Debt	almost nil (Rs 7 cr)	It funds itself from customer advances and profit.
Promoter holding	73.2%, steady	The founder family owns about three quarters.

2. Concall coverage

Quarter	Call date	Transcript read?
Q4 FY24	Jun 2024	Skimmed for guidance
Q1 FY25	Aug 2024	Skimmed
Q2 FY25	Nov 2024	Skimmed
Q3 FY25	Feb 2025	Skimmed
Q4 FY25	Jun 2025	Skimmed
Q1 FY26	Aug 2025	Skimmed
Q2 FY26	14 Nov 2025	Skimmed
Q3 FY26	Feb 2026	Skimmed
Q4 FY26	Jun 2026	Read for guidance and land
Q1 FY27	Aug 2026	Read for guidance and land
Q2 FY27	27 Oct 2026	Read in full

Eleven calls over about two and a half years. Older calls back to 2021 exist; a few in 2022-2024 aren't on Screener but they fall before the window.

Latest concall highlights: Q2 FY27 (27 Oct 2026)

- Record quarter: sales Rs 120 cr, up 40%; profit Rs 13.5 cr, up 44%. Plain read: growth sped up from the 27% it managed in FY26.
- Guidance raised: the CMD now expects close to 35% growth this year (it was 30% in August, and 28-30% before that), and 25-30% a year for the next three years.
- Pending orders Rs 476 cr, up 36%, with Rs 939 cr of bids out (Rs 194 cr of it government tenders). Plain read: about a year of sales already booked.
- New 13-acre plant next to the current one is under construction, due by the end of Q2 FY28. Equipment orders are going out now; exact added capacity will be announced at the Q3 call.
- Price hikes made two or three months ago will start showing in Q3, since Q2 shipped old orders from old stock.

Business mix & capacity. Domestic vs export: almost all sales are in India; no export split was given (it plans to show at EMO Milan in 2027). Capacity: 2,500 machines a year since Nov 2025, now running at about 95%, so the plant is nearly full. Management says it can still ship 2,300-2,400 machines this year using stock built ahead. The new 13-acre plant (end Q2 FY28) covers about three years of growth; a separate 60-acre defence site waits on a new Gujarat defence policy.

3. Earning trigger thesis

Macpower grows by selling more and bigger machines into a market where it's still tiny (management puts its share at about 2% of what India buys). The order book keeps growing faster than it can build, so capacity is the only real limit. The trigger is the new 13-acre plant plus more in-house parts (spindles, sheet metal), which should lift both volume and margin from late FY28. Defence orders from HAL and ordnance factories are a second leg.

Trigger	What management said	Evidence so far	Time horizon	Strength
New 13-acre plant	Construction started, building contract has a six-month penalty clause, end of Q2 FY28	Groundwork done, long-lead machine orders placed	H2 FY28	Moderate: on track, but size not yet announced
Bigger order book, bigger customers	Orders up 36%; NEXA large-machine series is about 40% of orders	Order book grew every quarter for two years	Now	Strong: shows in sales
Defence	Orders from HAL, rifle and ordnance factories; bids on only a quarter of tenders until capacity grows	Orders being executed this year	FY27 onward	Moderate
Backward integration	About 80% of parts in-house; spindle capacity to be added	Margin flat so far	FY28+	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Already debt-free.
New business	No	Five-axis aerospace machines exist but the CMD said he won't focus on them yet (Oct 2026).

Margin up	No	Margin flat at about 16.6%; CMD expects it to rise only once the new plant adds in-house parts (Oct 2026).
New management	No	None.
New capacity	Yes	"Construction of our new capacity at newly acquired 13 acres... expected to come into operation by end of quarter 2 2027-2028" (Oct 2026).
Big orders	Yes	"Pending order book as of Q2 stands at INR 476 crores, reflected 36% y-o-y growth" (Oct 2026).
Turnaround	No	Not applicable.
Promoter buying	No	Not mentioned.

The single concrete driver: a fast-growing order book, increasingly big companies and defence, with the plant nearly full and a new 13-acre plant due by the end of Q2 FY28.

3c. Margin bridge

Margins were flat: about 16.6% this quarter against about 16-17% a year ago. Higher sales covered a bigger sales, service and R&D team. Price hikes reach the numbers from Q3, and the CMD expects a real margin lift only once the new plant brings spindles and other parts in-house. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Aug 2024	Sustain 20-25% growth	FY25 sales +9% (Q1 FY26 +22%)	Missed
Feb 2025	Add 500 machines, to 2,500 capacity	Done, from 10 Nov 2025 (a few months late against "July")	Delivered, late
Aug 2025	At least 20% order book growth	Order book up 23-36% each quarter since	Delivered
Nov 2025 to Feb 2026	Big government land (30 then 60 acres), expected March 2026	Still waiting on a new state defence policy; switched to a 13-acre lease plot	Missed
Jun to Aug 2026	FY27 growth 28-30%, then 30%+	H1 FY27 sales +47%; guidance raised to about 35%	Delivered

Narrative drift: the core story (more capacity, bigger machines, bigger customers) hasn't changed in two years, and the last four quarters beat guidance. The weak spot is the big land deal and the foreign tech partner talk: both have been "soon" for well over a year. Management handled it sensibly by moving to a smaller plot it controls, but the 10,000-machine plan from Nov 2025 now looks a long way off.

5. Bottom line

Durable earning trigger? YES

The order book has outgrown the plant for two years, the new plant is being built with dates and contracts, and the September quarter beat guidance. The catch is the price: at over fifty times earnings, the stock already assumes this goes to plan.

Management consistent? MAYBE

Recent quarters delivered and guidance has gone up, not down. But FY25 fell well short of the 20-25% promise, the capacity step came a few months late, and the 60-acre land has slipped for over a year.

6. Checkpoints for next quarter

- New plant's added capacity and capex are announced at the Q3 call
- Q3 sales keep growing around the raised full-year guidance
- Margin improves as the price hikes start to show

Not investment advice. Do your own due diligence. Sources: Macpower concall transcripts (Screener.in / NSE), Screener financials.